

with anemic, declining earnings—feels wrong. The research shows that our untrained instinct is to naïvely extrapolate out a trend—whether it be in fundamentals like revenues, earnings, or cash flows, or in stock prices. And when we extrapolate the fundamental performance of stocks with declining earnings, we conclude that the intrinsic value must become less than the price paid. These biases—ignorance of the base case and, by extension, mean reversion—are key contributors to the ongoing returns to deep value investment.

In the book we also examine how the public stock market, by making possible an involuntary exchange of management control, creates a means for disciplining underperforming managers, and improving poorly performing businesses. Where high-return businesses attract competitors, low-return businesses attract outside managers. Through acquisition, or activism, these external managers—typically financial buyers like private equity firms, activist investors, and liquidators—compete for control of corporate resources with underexploited potential in the *market for corporate control*. The *principal-agent conflict*—caused by the separation of ownership and management in publicly traded companies—leads management to put its own interests ahead of the shareholders. Activists seek to resolve this conflict by pressuring boards to remove underperforming managers, stop value-destroying mergers and acquisitions, optimize capital structures, or press for a sale of the company, and earn a return doing so. They are thus incentivized to foment catalysts in otherwise neglected stocks, and are an important participant in the market for deeply undervalued, underperforming stocks.

As a portfolio, deeply undervalued companies with the conditions in place for activism offer asymmetric, market-beating returns. Activists exploit this property by taking large minority stakes in these stocks and then agitating for change. What better platform than a well-publicized proxy fight and tender offer to highlight mismanagement and underexploited intrinsic value, and induce either a voluntary restructuring or takeover by a bigger player in the same industry? Activist investing can be understood as a form of arbitrage. Activists invest in poorly performing, undervalued firms with underexploited intrinsic value. By remedying the deficiency or moving the company's intrinsic value closer to its full potential, and eliminating the market price discount in the process, they capture a premium that represents both the improvement in the intrinsic value and the removal of the market price discount. We scrutinize the returns to activism to determine the extent to which they are due to an improvement in intrinsic value, or simply the returns to picking deeply undervalued stocks. Finally, we examine valuation metrics used to identify the characteristics that typically attract activists—undervaluation, large cash holdings, and low payout ratios. These metrics